

Real Estate Case / Welfare Theorem

Session 28 • Track 1: Real estate (REIT/Private) case • Track 2: Welfare theorem derivation

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Primary Text: Liquidity Illusion (Forthcoming, 2026)

Graduate Finance Course • Spring 2027 • Session 28 of 32

Session 28: split-track agenda

TRACK 1 (Practitioner)

Real estate case workshop

- ▶ Case: Blackstone Hilton acquisition
- ▶ RE-specific liquidity considerations vs. pure financial
- ▶ REIT vs private real estate Jensen bias comparison
- ▶ Group exercise: when does private RE outperform REITs?
- ▶ Deliverable: 2-page case memo

TRACK 2 (Researcher)

Welfare theorem derivation

- ▶ Welfare gap as integral of marginal externality
- ▶ Pareto optimality conditions
- ▶ First and second welfare theorems for GE-LAV
- ▶ Existence of welfare-improving Pigouvian tax
- ▶ Problem: derive welfare gap formula from first principles

Session 28 summary

What we accomplished today

- 1 Session 28 runs split-track: practitioners and researchers work on different deliverables
- 2 Track 1: case-based, applied analysis with deliverable IC memo
- 3 Track 2: theoretical, with deliverable problem set or proof
- 4 Both tracks reconvene in Session 32 for final project presentations

Next session

Session 29: continued split-track or capstone